

gram featured a round-table of ex-U.S. Treasury Secretaries who forcefully argued that continued budget deficits would collapse the economy and that President Reagan would do nothing to stop it.

During this 1979-1981 period, with the Dow fluctuating in the 740-1000 range, *The Elliott Wave Theorist* continually communicated the meaning of the widespread worry: "Contrary opinion would seem to support the Elliott thesis that a bull wave of great power may be developing...This is the stuff real bull markets are made of.... The majority opinion can be summed up in one sentence: 'A bull market here is impossible...' This overall period of excess bearishness [has] Cycle degree implications." In other words, the intense bearishness was long term bullish.

After a respite in 1983 associated with the market's blast-off and an upturn in the economy, the dark sentiment returned in 1984 and lasted right through 1985. "The bottoms of second waves," said *The Elliott Wave Theorist* at the time, "are points when bearishness is not only rampant, it is positively fashionable." In June 1984, *The Wall Street Journal* ran a five-page special section quoting countless experts forecasting continued soaring interest rates. This unprecedented commentary was published three weeks *after* the low in bonds and within points of that year's low in the Dow (see details in Appendix B of *Elliott Wave Principle*). Proof of the assertion that bearishness was fashionable was the market psychology of 1985, a year that saw the Dow make new all-time highs for several months before undergoing a mild "wave two" pullback into the fall. In that year, a seat on the American Stock Exchange sold for *one-third* of its value of 1983. Brokerage houses, said the WSJ's front page that August, have "dismal" bottom lines, with one racking up "the biggest single-year loss in Wall Street history." The general public remained so disinterested and uninvolved in stocks that a brokerage firm in June 1985, within one day of another all-time high in the market, filed for Chapter 11 bankruptcy protection. Market letter ads in late 1985 were no longer being coy, but announcing, "Market Top Has Been Seen," "Bear Market," "Sell Short," and "On the Brink of Great Depression II." Newspaper headlines continued to reflect the general psychology: "Bears Take Floor at Investment Conference," "Big Run Almost Over, Brokerage Warns," "Aging Bull Looks Ready to Stumble—Analysts Hear Growl of a Hungry Bear," and "What is There to be Bullish About?" One state governor made headlines when he said he "Fears National Disaster Looms Ahead." Even after the last pullback low ended in September 1985, the barrage of scary articles continued. October's